

SENATE BILL 2337

By Haile

AN ACT to amend Tennessee Code Annotated, Title 67,
Chapter 6, relative to food and food ingredients.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. This act is known and may be cited as the "Healthy Tennessee Grocery Tax Reform of 2026."

SECTION 2. Tennessee Code Annotated, Section 67-6-228(a), is amended by deleting the language "Notwithstanding any provision of this part to the contrary, except as otherwise provided in subsection (b)," and substituting instead the language "Notwithstanding this part to the contrary, except as otherwise provided in subsections (b) and (c),".

SECTION 3. Tennessee Code Annotated, Section 67-6-228(b), is amended by adding the language ", highly processed food, packaged ready-to-eat food, canned food, snacks, chips, cookies, sugary cereal, soda" immediately after the language "prepared food".

SECTION 4. Tennessee Code Annotated, Section 67-6-228, is amended by adding the following as a new subsection:

(c) The retail sale of the following types of food and food ingredients for human consumption shall not be taxed under this chapter:

- (1) Produce that is fresh or frozen;
- (2) Raw meat, poultry, and fish;
- (3) Eggs;
- (4) Flour and ground cornmeal;
- (5) Dried legumes, including beans, peas, and lentils;
- (6) Bread;
- (7) Unsweetened cereal;

(8) Dairy; and

(9) Fruit juice and vegetable juice that is one hundred percent (100%)

juice.

SECTION 5. This act takes effect July 1, 2026, the public welfare requiring it.